

California Trust Funding Checklist

A trust that owns nothing does nothing. Use this checklist to confirm your assets are actually inside your trust.

■ Companion to Video 2: Wills vs. Trusts — BayLegal YouTube Channel

Important: The most common estate planning mistake in California is creating a trust and never funding it. Work through every asset category below. If an asset is not in your trust or properly designated, it will go through probate.

SECTION 1 — CALIFORNIA REAL PROPERTY

- ☐ I have confirmed that a grant deed transferring each property into my trust has been recorded.
The deed must be recorded with the county recorder's office — not just signed.
- ☐ The vesting on each property deed reads: '[Your Name], Trustee of the [Trust Name].'
- ☐ My title insurance policy has been updated or endorsed to reflect trust ownership.
Contact your title company to request an endorsement — this is usually low cost.
- ☐ If I refinanced after creating my trust: the property was retitled back into the trust after closing.
Lenders often require you to take property out of trust to refinance. Many owners forget to put it back.
- ☐ Out-of-state property: I have consulted with counsel in each state about funding requirements.
Each state has different recording and transfer requirements. California rules do not apply elsewhere.

SECTION 2 — FINANCIAL AND INVESTMENT ACCOUNTS

- ☐ My brokerage/investment accounts are owned by the trust or name the trust as beneficiary.
- ☐ My bank checking and savings accounts reflect trust ownership or a POD (payable on death) designation.
- ☐ My money market accounts have been updated.
- ☐ Certificates of deposit name the trust or have a POD designation.

IRAs, 401(k)s, and other retirement accounts should NOT be retitled into the trust — consult your attorney about beneficiary designations for these.

SECTION 3 — BUSINESS INTERESTS AND LLCs

- ☐ My LLC membership interests have been assigned to my trust via a written assignment of interest.
- ☐ The LLC operating agreement permits transfer of membership interest to a trust.
Some operating agreements require member consent or have transfer restrictions. Review before assigning.

- ☐ My interest in any partnership or S-Corporation has been addressed.
S-Corp stock transfers to a trust have specific IRS rules. Consult your attorney before transferring.
- ☐ My business buy-sell agreement is consistent with my trust plan.

SECTION 4 — LIFE INSURANCE AND RETIREMENT ACCOUNTS

- ☐ My life insurance policies name the correct beneficiaries consistent with my trust plan.
- ☐ I have reviewed whether my trust or individual beneficiaries should be named on life insurance.
If you have minor children as beneficiaries, the trust should typically be named, not the minors directly.
- ☐ My IRA and 401(k) beneficiary designations have been reviewed by my attorney.
Do not simply retitle retirement accounts into a trust without legal guidance — tax consequences can be severe.
- ☐ My pension or annuity beneficiary designations are consistent with my overall plan.

SECTION 5 — PERSONAL PROPERTY AND OTHER ASSETS

- ☐ My pour-over will is in place to catch any assets not already in the trust at death.
- ☐ Vehicles: I understand that California vehicles are typically handled outside the trust via DMV transfer on death.
DMV REG 227 allows you to designate a beneficiary for your vehicle without putting it in the trust.
- ☐ Valuable personal property (art, jewelry, collections) has been addressed in my trust schedule or will.
- ☐ Any promissory notes or loans owed to me have been assigned to the trust.

If you completed this checklist and found unchecked items, contact your attorney before assuming the situation will resolve itself. An unfunded trust at death means probate — the very outcome the trust was created to avoid.

Ready to close your gaps?

Schedule a consultation at BayLegal.com or call us at (650) 240-2800

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